INCOME TAXES

For financial statement reporting purposes, income before income taxes (in millions), based on the geographical location of the operation to which such earnings are attributable, is summarized below. Certain foreign operations are branches of Eaton Corporation and are, therefore, subject to United States as well as foreign income tax regulations. As a result, pretax income by location and the components of income tax expense by taxing jurisdiction are not directly related.

	Income before income taxes		
	1999	1998	1997
United States	$788	$455	$457
Non-United States	178	64	219
Write-off of foreign currency translation adjustments related to divested businesses	(3)	(34)	(8)
	$963	$485	$668

Income tax expense for the years ended December 31 follows (in millions):

	1999	1998	1997
Current			
United States			
Federal	$233	$(11)	$ 99
State & local	10	9	14
Non-United States	52	42	42
	295	40	155
Deferred			
United States			
Federal	28	90	20
State & local			5
Non-United States			
Reduction of valuation allowance for deferred income tax assets			(4)
Operating loss carryforwards	17	(1)	15
Other	6	7	13
	51	96	49
	$346	$136	$204

Reconciliations of income taxes at the United States Federal statutory rate to the effective income tax rate for the years ended December 31 follow (in millions):

	1999		1998	1997
	Amount	Rate	Rate	Rate
Income taxes at the United States statutory rate	$337	35.0%	35.0%	35.0%
Write-off of purchased in-process research & development				4.5
State & local income taxes	7	.7	1.5	2.9
Amortization of goodwill & intangible assets	13	1.4	1.6	1.0
Possessions credit related to Puerto Rican operations	(30)	(3.2)	(8.2)	(5.7)
Credit for increasing research activities	(11)	(1.2)	(2.7)	(3.3)
Effective income tax rate differential related to:				
Sales of businesses	23	2.5	2.1	(1.9)
Foreign source income	14	1.5	.3	.2
Earnings of consolidated subsidiaries and associate companies outside the United States	(22)	(2.3)		(1.0)
Other--net	15	1.5	(1.6)	(1.2)
	$346	35.9%	28.0%	30.5%

Significant components of current and long-term deferred income taxes at December 31 follow (in millions):

	Current assets	Long-term assets	Long-term liabilities
1999			
Accruals & other adjustments			
Employee benefits	$ 52	$ 2	$ 205
Depreciation & amortization	(4)	(12)	(443)
Other	133	10	30
Operating loss carryforwards of non-United States subsidiaries		57	3
Other items	13	27	(4)
Valuation allowance		(70)	
	$ 194	$ 14	$(209)
1998			
Accruals & other adjustments			
Employee benefits	$ 43	$ 2	$ 187
Depreciation & amortization	(4)	(20)	(233)
Other	99	10	24
Operating loss carryforwards of non-United States subsidiaries	6	50	4
Other items	8	23	2
Valuation allowance		(50)	
	$ 152	$ 15	$ (16)

At December 31, 1999, certain non-United States subsidiaries had operating loss carryforwards aggregating $173 million. Carryforwards of $108 million have no expiration dates and the balance expires at various dates from 2000 through 2009.

The Company has manufacturing facilities in Puerto Rico which operate under United States tax law incentives that will no longer be available after 2005.

No provision has been made for income taxes on undistributed earnings of consolidated non-United States subsidiaries of $573 million at December 31, 1999, since the earnings retained have been reinvested by the subsidiaries. If distributed, such remitted earnings would be subject to withholding taxes but substantially free of United States income taxes.

Worldwide income tax payments in 1999, 1998 and 1997 (in millions) were $169, $30 and $163, respectively.

The Internal Revenue Service (IRS) has asserted the Company owes additional taxes and interest for 1993 relating to the treatment of transactions involving company-owned life insurance. A similar issue exists for 1994-1998. The Company strongly disagrees with the IRS and is vigorously contesting the matter. Management believes resolution of this matter will not have a material adverse effect on the Company's results of operations, financial condition and cash flows.